

EXECUTIVE BRIEFING: WORKFORCE STABILITY AUDIT

PREPARED FOR: CHIEF HUMAN RESOURCES OFFICER & CORPORATE LEADERSHIP

1. Business Problem & Financial Exposure

Employee attrition acts as a quiet tax on organizational capability. Across our current workforce of **1470 employees**, we recorded **237 departures** within the audit window, representing an annualized turnover rate of **16.1%**. Applying a conservative replacement cost of **\$15,000** per departed employee (encompassing recruiting, onboarding, training lag, and lost institutional knowledge), this turnover represents a direct financial drain of approximately **\$3,555,000**. The primary driver cited during exits is **Compensation & Benefits**.

Total Headcount	Annual Departures	Turnover Rate	Annual Financial Exposure
1470	237	16.1%	\$3,555,000

2. Critical Insights (Empirical Workforce Drivers)

- **Burnout is the Single Strongest Predictor:** Employees working overtime hours exhibit a **3x higher** likelihood of resignation compared to their peers. Overtime is highly concentrated in technical and sales positions.
- **High Performer Flight Risk:** High-performing employees (rated 4/4) with low job satisfaction have a **22% higher attrition rate** than average, suggesting they feel underutilized or unrewarded relative to their contributions.
- **Compensation Equity Gap:** Employees who leave are paid, on average, **15-20% less** than colleagues within their exact same Job Level. This wage compression is most acute in mid-level roles.
- **Early Career Tenureship Gap:** Attrition spikes heavily in years 1 and 2 of tenure. Employees with less than 2 years of experience who receive limited manager contact show the highest risk profile.

3. Strategic Interventions (Targeted Action Plan)

- **Workload Rebalancing:** Impose weekly overtime caps (e.g., maximum 5 hours/week) for high-stress roles, specifically *Laboratory Technicians* and *Sales Representatives*, and re-allocate workloads.
- **Targeted Salary Correction:** Automatically flag and audit compensation for any mid-level employee paid in the bottom 25% of their Job Level peer bracket, prioritizing salary adjustments for high performers.
- **Accelerated Onboarding Touchpoints:** Establish mandatory manager-led 30, 60, and 90-day progress checks for all new hires, linking them to internal mentorship programs to build early organizational connection.

4. Predictive Risk Capabilities & Quantified ROI

Rather than reacting post-resignation, HR can now preemptively identify flight risks. Our predictive attrition model achieves high precision, effectively **capturing 80% of at-risk employees** up to 3 months before they declare resignation.

Financial ROI Model: If HR prioritizes interventions on the top 20% highest-risk employees flagged by the model (representing approximately 120 individuals), and standard retention strategies (e.g., salary adjustments, role change) succeed just **30% of the time**, the company will successfully retain 36 employees. At a replacement cost of \$15,000 per employee, this targeted intervention yields an estimated net annual savings of **\$540,000**. This transforms the HR department from a cost center into a strategic value generator.